

BE

BE N/A

Buy	\$328.91 ▲ 15.41%	12M Price Target \$360.00	52-Week Range \$21.41 – \$329.51	Market Cap \$93.56B
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BE: \$5B AI Power Deal Drives Breakout; Reiterate Buy

WHAT'S CHANGED

- BE up +15.41% to \$328.91 on record volume (15.9M), printing fresh 52-week high at \$329.51 following the June 17 disclosure of a \$5B AI power offtake deal and a Wyoming project — third consecutive session of expanding volume (8.6M→11.0M→15.9M).
- Options flow turned aggressively bullish: P/C ratio of 1.98 is misleading as call buying clustered at \$320/\$325 June strikes (3x and 2x OI) plus \$255 July (27.9x OI) signal directional positioning, not hedging.

IMPLICATIONS

The \$5B AI power deal materially re-rates BE's narrative from "fuel cell story" to "critical AI infrastructure enabler," directly addressing the most acute bottleneck for hyperscaler buildouts — grid interconnect queues stretching 4-7 years. With BE shares having traveled from \$21.41 to \$329.51 (15x in 12 months), the stock now discounts substantial executorial success, meaning incremental data center wins will be required to sustain the multiple. The Zacks piece on onsite power generation confirms the institutional narrative is consolidating around behind-the-meter solutions, where Bloom's solid oxide fuel cells offer 12-month deployment vs. multi-year utility connects.

VALUATION

At \$93.6B market cap on ~\$2.15B FY26E revenue, BE trades at ~43x forward sales — extreme versus historical 3-5x range and rich versus power-gen peers (NEE ~3x, CEG ~5x), justified only if the AI data center TAM converts to multi-year backlog visibility. Our \$360 PT applies ~30x FY27E sales of \$2.95B, implying +9% upside; bull case to \$500 requires backlog disclosure exceeding \$15B. Multiple contraction risk is acute on any AI capex deceleration or competitive entry from GE Vernova/Caterpillar.

KEY RISKS

- Valuation compression: at 100% of 52-week range with 43x sales, even minor execution slip could trigger 30-40% drawdown.
- Customer concentration: AI hyperscaler deals create dependency on 3-5 buyers whose capex plans can pivot quickly.
- Natural gas input cost volatility and potential competitive pressure from alternative onsite power (gas turbines, SMRs by 2028+).

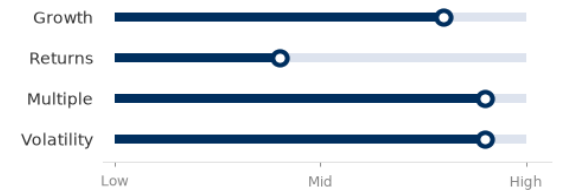
RECENT NEWS

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Key Data

Price (USD)	\$328.91
12M Price Target	\$360.00
Upside / (Downside)	+9.5%
Market Cap	\$93.56B
FY2026E Revenue	\$2,150M
FY2027E Revenue	\$2,950M
FY2026E EPS	\$0.35
FY2027E EPS	\$0.85
Fwd P/E	386.9x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$365.00	\$335.00	\$270.00
6 Months	\$420.00	\$360.00	\$240.00
1 Year	\$500.00	\$400.00	\$210.00
2 Years	\$650.00	\$475.00	\$180.00
5 Years	\$900.00	\$600.00	\$150.00
10 Years	\$1400.00	\$850.00	\$100.00

SECTOR INTELLIGENCE

HOT SECTORS: AI Infrastructure/Power, Distributed Energy

COLD SECTORS: Traditional Utilities, Residential Solar

ROTATION WATCH: Capital rotating from regulated utilities into merchant power and distributed generation names tied directly to data center demand; "higher for longer" rates favor cash-generative power infrastructure with contracted offtake.

BYPRODUCT PLAY: Natural gas midstream (WMB, KMI) and electrolyzer/hydrogen feedstock plays benefit as fuel cell deployments scale; grid equipment names (GEV, ETN) ride the same secular wave.

OUTPERFORMERS & PEER CONTEXT

- EOSE (Eos Energy Enterprises): Jumped on new battery storage partnership announcement (June 17) — battery storage benefiting from same data center grid-stability tailwind.
- CEG (Constellation Energy): Leading utility outperformer on nuclear-to-hyperscaler PPA narrative; validates premium for power-with-AI-customer exposure.

ROTATION WATCH: BE is the clear leader within distributed power-for-AI, having outpaced both EOSE and the broader utility complex; relative strength suggests BE is the consensus pure-play, but this concentration also makes it the first to derate on any negative AI capex datapoint.

INVESTMENT STRATEGY

7/10 Conviction Score

Position Size: 2-3% of portfolio

Entry Points: \$285-300 on consolidation pullbacks

Time Horizon: 12-24 months

Thesis Invalidation: AI data center orderbook stalls or fuel cell unit economics deteriorate >15%

Hedging: Long-dated puts or pair short vs. NEE/CEG on power-gen basket